

The complaint

Mr D and Mr R were not happy when AXA Insurance UK Plc (AXA) declined their claim on their home insurance.

There are several parties and representatives of AXA involved throughout the claim but for the purposes of this complaint I'm only going to refer to AXA.

What happened

In October 2019 Mr D and Mr R were issued a 'Dangerous Building Notice' by their local council. This notice was served due to the dormer roof of the unoccupied property next door caving in and the gable end wall of the building in which Mr D and Mr R owned a flat (one of four) partially collapsing.

All residents were instructed to leave the property by the council until the repairs on the wall had been carried out.

The repair to the wall is a communal aspect and shared between all four flats.

The unoccupied property next door had stood empty for some years and had fallen into a state of disrepair. There had been two fires one in 2013 and one in 2016 which were both attended by the fire brigade and fires were put out with water. The state of disrepair has been the subject of local media interest over the last few years. Plans had been submitted to demolish the building and erect 12 flats on the site.

Mr D and Mr R contacted AXA to make a claim for accidental damage on their home insurance policy for repair to the gable end and AXA appointed a loss adjuster to look at the claim. The loss adjuster did not visit the site as it was closed due to the dangerous buildings notice. Neither did it liaise with the other insurers in the block of flats.

Mr D and Mr R also tried to contact the owner of the empty building but were unable to do so. So, the local council appointed a surveying company to undertake a report on the incident. An inspection on the external part of the building from a mobile platform took place and the report was sent to all the owners and their insurance companies, including AXA.

Mr D and Mr R's claim was declined as AXA considered that the damage was not as a result of a one-off event but was caused by water ingress which had happened over a number of years making the brickwork soft which had resulted in the wall collapsing.

Mr D and Mr R appealed the decision and also complained about poor communication they had from the loss adjuster. AXA agreed there had been poor communication by the loss adjuster and a £50 compensation payment was made in recognition of this poor service.

During the call when the compensation offer was made Mr R checked with AXA that the claim appeal was still being looked in to and it confirmed that it was.

Mr D and Mr R had regular contact with two of the other owners of the flats as the repair to the damaged wall was a joint responsibility of all the flat owners. These two owners had their insurance claims paid by their insurers. One of the owners also shared the same loss adjuster as Mr D and Mr R.

Mr D and Mr R informed AXA of the information about the other owners' claims being paid and believed that as they were all owners claiming for the same incident on the same building that AXA should also pay their claim. But it was still its opinion that their claim would not be covered as AXA considered it general maintenance and damage over a period of time, which was excluded by the policy.

There were no updates to Mr D and Mr R for a few weeks and when Mr R rang AXA it said the case had been closed when the compensation of £50 had been paid. Mr D and Mr R had to restart the complaints process. The complaint had been going on for six months by now, so they were very upset about having to start over again.

The claim was looked at again by AXA, but it still declined it for the reasons that the damage is due to water ingress that has happened over a number of years making the brickwork become soft and therefore it said the insurance does not cover this.

As Mr D and Mr R were unhappy with the decision by AXA to decline their claim, they brought their complaint to our service.

Our investigator didn't uphold the complaint. He decided that AXA were fair in their decision to decline the claim as the damage was not covered under the insurance policy.

As Mr D and Mr R are unhappy with our investigator's view the case has been brought to me for a final decision to be made.

In my provisional decision I said:

I have looked at reports about, and pictures of, the property next door to Mr D and Mr R's property and there is no doubt that next door was in a poor state of repair and had been for many years. The site of the collapse of the dormer roof is adjoining the side of the building in which Mr D and Mr R have their flat. I have looked at pictures of the two buildings both before and after the collapse of the dormer roof on the neighbouring property.

As the two properties are right next to each other I think that it's likely that the condition of Mr D and Mr R's wall would not have been fully visible until the partial collapse of the building next door. Therefore I believe that it's reasonable to accept that Mr D and Mr R would not have been aware of any deterioration of brickwork or been able to undertake any maintenance due to the now collapsed dormer roof being up against their wall. There's not been any evidence provided to suggest Mr D and Mr R's property would have been showing any internal signs to suggest damage was occurring.

To support their complaint that the claim should be paid as accidental damage, and was not caused over a number of years, Mr D and Mr R provided evidence of a home survey that they had completed in June 2018 stating the chimney was in a fair condition.

It was reported in the media that after the collapse of the dormer roof to the building next door that the company who were due to develop it had withdrawn as the collapsed roof had 'damaged neighbouring homes' and it believed that due to any legal issues arising from the damage that it would take too long and be too complicated.

It's apparent that all the flat owners have a shared responsibility for the same damage to the

same gable end wall of the building. And that their individual insurance claims are for the same damage to the same area and so it must also be correct that the damage was due to the same reasons for all owners.

In this case we have four flat owners responsible for the same damage to an external wall in their shared building. I have seen evidence, in the information that I have reviewed, that two of the other flat owners in this block have made claims on their own insurance policies for this same damage. These two claims have been accepted by their insurers. Specific reference is made in one report that the claim arises as a consequence of the collapse of the dormer roof structure forming part of the building next door. As such it doesn't seem fair that AXA have decided to reject a claim for the same event as it considers it to be damage that has happened over a period of time.

One of the other insurers used the same loss adjuster as used by AXA and it was pointed out to it by the loss adjuster that it was working on behalf of another insurer who had covered the claim under accidental damage, but it confirmed that it would not be changing its stance and were maintaining that it was damage caused over a period of time.

I feel that it is inconsistent for AXA to decline the claim when two other insurers are accepting it, I don't think it's given reasons why Mr D and Mr R should be treated differently to other flat owners within the same overall property.

I consider that it would be good industry practice for AXA to treat Mr D and Mr R who are in the same situation as the other policyholders in the same block, who have had their claims paid out, to also have their claim for the same damage paid.

The other insurers have accepted the claim and so I would expect AXA to follow suit.

Responses to my provisional decision

Mr D responded to confirm he had received the provisional decision and had no more to add.

AXA responded to confirm it was still unhappy with the outcome and cannot accept the claim. It said

- Whilst it agreed that the damage is not Mr D and Mr R's fault, it still maintained that the damage had occurred over time and that there is a policy exclusion for gradual damage and therefore no cover is in place.
- It agrees that the damage is due to the adjacent hotel becoming derelict leading to damage to Mr D and Mr R's property.
- It would not change its decision due to what other insurance companies have done.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Based on the responses that I've reviewed, I maintain my provisional decision.

AXA have not presented any further evidence that has made me change my mind as to why Mr D and Mr R should be treated any differently than the other owners of the flats.

The reasoning in my provisional decision was that as all flat owners are in the same situation and dealing with the same damage, I believe that the fair and reasonable outcome is that

claims for this identical damage should be dealt with consistently by all insurers involved as a matter of good industry practice.

A reasonable outcome based on treating customers fairly, is that Mr D and Mr R have their claim accepted like the other owners in the same block. I maintain that it is good industry practice for all insurers dealing with this same occurrence of damage, to treat their policy holders the same.

In this case as the other insurers have accepted the claim I require AXA to follow suit and pay Mr D and Mr R's claim under the remaining terms of their policy.

Therefore, I uphold Mr D and Mr R's complaint and UK Plc should pay their claim in line with the settlements made to the other flat owners who have had their claims paid already.

My final decision

For the reasons I have given I uphold this complaint.

I require AXA Insurance UK Plc to accept and pay Mr D and Mr R's claim in line with the remaining policy terms and conditions.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr D and Mr R to accept or reject my decision before 9 November 2021.

Sally-Ann Harding
Ombudsman